

FEDERAL MARITIME COMMISSION
Office of the Administrative Law Judges

LEADER COMMERCE CORP. D.B.A. INFINITY FEIGHT AND
LOGISTICS CORP., *Claimant*

v.

MEDITERRANEAN SHIPPING COMPANY (USA) INC.,
Respondent.

DOCKET NO. 2015(I)

Served: November 8, 2024

BEFORE: Theresa Dike, *Small Claims Officer.*

ORDER APPROVING SETTLEMENT AND DISMISSING PROCEEDING

On July 31, 2024, the Secretary of the Federal Maritime Commission (“FMC” or “Commission”) issued a Notice of Filing of Small Claims Complaint and Assignment (“Notice”), stating that Claimant Leader Commerce Corp. d.b.a. Infinity Freight and Logistics Corp. (“Leader Commerce”) had filed an informal complaint against Respondent Mediterranean Shipping Company (USA) Inc. (“MSC”). Leader Commerce alleges that MSC imposed overcharges to the agreed upon ocean freight consisting of a “low water” fee in the amount of \$3,000, an extra fee of \$140, and demurrage charges in connection with Leader Commerce’s shipment with bill of lading number MEDUUP205245 originating from Baltimore, United States, for delivery to Manaus, Brazil. The Secretary instructed MSC to file a response by August 26, 2024, and indicate whether it consents to the adjudication of the Claim under the informal procedures provided at Subpart S of the Commission’s Rules of Practice and Procedure (46 C.F.R. § 502.301-305).

MSC was subsequently granted an extension of time until October 18, 2024, to file its response. On October 17, 2024, MSC submitted a Confidential Settlement Agreement and Release (“Settlement”) signed by both parties and requested that the Claim against it be dismissed with prejudice on the basis that the parties had resolved their dispute.

The Commission’s Rule 72(a)(3) provides:

[A]n action may be dismissed at the complainant’s request only by order of the presiding officer, on terms the presiding officer considers proper. If the motion is based on a settlement by the parties, the settlement agreement must be submitted with the motion for determination as to whether the settlement appears to violate any law or policy and to ensure the settlement is free of fraud, duress, undue

influence, mistake, or other defects which might make it unapprovable. Unless the order states otherwise, a dismissal under this paragraph is without prejudice.

46 C.F.R. § 502.72(a)(3). Although Rule 72, governing dismissal of Commission proceedings, is not applicable to Subpart S proceedings, the undersigned used the rule as guidance for ruling on Claimant's request to dismiss the Claim.

The Commission's regulations allow settlements by litigating parties; however, the Commission requires that settlement agreements be submitted "for determination as to whether the settlement appears to violate any law or policy and to ensure the settlement is free of fraud, duress, undue influence, mistake, or other defects which might make it unapprovable." *Maier Terminals v. The Port Authority of N.Y. & N.J.*, 34 S.R.R. 322, 325 (FMC 2016). In reviewing settlement agreements, the Commission is guided by its "strong and consistent policy of encouraging settlements and engaging in every presumption which favors a finding that they are fair, correct, and valid." *Maier Terminals*, 34 S.R.R. at 326 (quoting *APM Terminals North America, Inc. v. Port Authority of N.Y. & N.J.*, 31 S.R.R. 623, 626 (FMC 2009)).

"While following these general principles, the Commission does not merely rubber stamp any proffered settlement, no matter how anxious the parties may be to terminate their litigation." *Old Ben Coal Co. v. Sea-Land Serv., Inc.*, 18 S.R.R. 1085, 1092 (ALJ 1978). However, if a "proffered settlement does not appear to violate any law or policy and is free of fraud, duress, undue influence, mistake or other defect which might make it unapprovable despite the strong policy of the law encouraging approval of settlements, the settlement will probably pass muster and receive approval." *Id.* at 1093. "[I]f it is the considered judgment of the parties that whatever benefits might result from the vindication of their positions would be outweighed by the costs of continued litigation and if the settlement otherwise complies with law the Commission authorizes the settlement." *Delhi Petroleum Pty. Ltd. v. U.S. Atlantic & Gulf/Australia – New Zealand Conf. and Columbus Line, Inc.*, 24 S.R.R. 1129, 1134 (ALJ 1988).

Under the terms of the settlement, MSC agrees to "cancel the outstanding demurrage charges incurred in Brazil in the amount of USD 4,650 " and terminate its collection actions for the outstanding demurrage against Commerce Leader and its related entity, and Commerce Leader agrees to "waive its right to claim from MSC or any of its Related Entities a refund of any previously-paid freight, charges and/or costs relating to the shipment made under the bill of lading No. MEDUUP205245, including additional freight costs of USD 3,000.00 and late payment fees of BRL 700.00," and to withdraw its complaint against MSC with prejudice at the FMC. Settlement at 2. Commerce Leader "represents that it has relied upon all necessary advice, including from its own legal counsel and that the terms of this Settlement Agreement have been completely read and explained to it by its advisors and/or attorneys, and that those terms are fully understood and voluntarily accepted by it." Settlement at 3. Claimant indicates that although the settlement agreement is titled "Confidential Settlement Agreement and Release," it does not seek confidential treatment for the agreement (email from Claimant dated November 7, 2024).

A review of the settlement agreement, which is signed by both parties, shows no indicia of fraud, duress, undue influence, or mistake, and appears to reflect an arm's-length resolution

between the parties. The terms appear to be fair, reasonable, and adequate. Accordingly, the settlement agreement is approved, and this proceeding dismissed with prejudice, as requested.

Upon consideration of the proposed settlement and for the reasons stated above, it is hereby

ORDERED that the settlement agreement be **APPROVED**. It is

FURTHER ORDERED that this proceeding be **DISMISSED WITH PREJUDICE**.

THERESA DIKE Digitally signed by THERESA DIKE
Date: 2024.11.08 09:44:51 -05'00'

Theresa Dike
Small Claims Officer